

GCE AS MARKING SCHEME

WJEC / EDUQAS

AS ECONOMICS – COMPONENT 1

Practice Paper 2 (Advanced)

About this marking scheme

This marking scheme follows the same band-based AO structure used in WJEC/Eduqas live mark schemes. For each question, marks are allocated against the relevant Assessment Objectives (AO1, AO2, AO3, AO4). Candidates may achieve different bands within a single question. Indicative content is illustrative — candidates do not need to include all of it to reach the highest band. Examiners should adopt a positive marking approach and credit any economically valid alternative.

Q1. Using calculations from at least two different points along the demand curve, outline how PED changes along this demand curve and explain the implication for a producer setting price. **[6]**

AO1 2 marks	Good understanding – 2 marks Understands that PED becomes more inelastic moving down the curve (more elastic moving up). Limited understanding – 1 mark Understands the concept of price elasticity of demand.
AO2 4 marks	Excellent application – 4 marks Both elastic and inelastic calculations done correctly and expressed as a negative figure. Good application – 2–3 marks 3 marks: both inelastic and elastic calculations done correctly. 2 marks: one done correctly (or only one PED calculated for the whole curve). Limited application – 1 mark Some numbers identified but % change not used correctly.

Indicative content

AO1: PED measures the responsiveness of quantity demanded to a change in price. PED moves from elastic (top-left) through unit elastic (midpoint) to inelastic (bottom-right) along a straight, downward-sloping demand curve.

AO2 — using the figure (P: 20→2; Q: 5→50):

Elastic region: P falls £18→£16 (-11.1%); Q rises 10→15 (+50%). $PED = +50 / -11.1 = -4.5$ (elastic).

Inelastic region: P falls £4→£2 (-50%); Q rises 45→50 (+11.1%). $PED = +11.1 / -50 = -0.22$ (inelastic).

Implication for the producer: total revenue rises with a price cut in the elastic region but falls in the inelastic region. A profit-maximising producer should not cut price below the unit-elastic point — TR falls and unit costs of producing additional output rise.

Q2 (a). Using column 3 of Table 1, outline the differences between the three product categories using YED. [5]

Band	AO1 — 2 marks Is YED understood?	AO2 — 3 marks Is the data interpreted correctly?
3		3 – Excellent application Use of YED numbers to show understanding of both inelastic/elastic YED AND both normal/inferior goods.
2	2 – Good understanding of YED.	2 – Good application Use of YED for one matching pair plus one other element.
1	1 – Limited understanding of YED (may be by formula only).	1 – Limited application YED used to show either elastic/inelastic OR normal/inferior, but not both.
0	No valid.	No valid.

Indicative content

AO1: YED measures the responsiveness of demand to a change in income. Positive = normal good, negative = inferior. $|YED| > 1$ = income-elastic, < 1 = income-inelastic.

AO2 — for this paper:

Product 1 (premium electronics, YED +3.2): strongly income-elastic, normal — a luxury good.

Product 2 (own-brand groceries, YED -1.6): income-elastic, inferior — a strong inferior good (sales fall more than proportionally as incomes rise).

Product 3 (everyday clothing, YED +0.7): income-inelastic, normal — a necessity-type good.

Q2 (b). Using Table 1 and Figure 1, consider whether the change in Japanese Real GDP between 2020 and 2022 will be harmful for the total revenue of the online retailer. Consider impact across all three categories. [6]

Band	AO2 (2) Answer in context?	AO3 (2) Reasoning on TR?	AO4 (2) Debated & judged?
2	Good application – both GDP data and YEDs used.	Good analysis – developed lines on impact of GDP on TR.	Good evaluation – reasoned judgement; counter-arguments developed.
1	Limited application – limited use of GDP/YEDs.	Limited analysis – superficial.	Limited evaluation – counterpoints underdeveloped, or one-sided judgement on sales proportions.
0	No valid.	No valid.	No valid.

Indicative content

AO2: Japan's Real GDP fell sharply in 2020 (¥553k → ¥528k bn — pandemic) then recovered to ¥548k bn by Jan 2022 — net incomes broadly flat-to-slightly-down over the period. 65% of sales (Products 1 and 3) are normal goods; 30% of sales (Product 2) are strongly inferior; 45% of sales (Product 1) are strongly income-elastic.

AO3: During the 2020 collapse: Product 1 demand falls sharply (high YED + falling income) → significant revenue loss on the largest single category. Product 2 demand rises (negative YED + falling income) → revenue gain. Product 3 demand falls modestly. During the 2021–22 recovery the pattern reverses partially. Total revenue = $\Sigma P \times Q$.

AO4: The 2020 GDP shock is harmful on balance because Product 1 dominates the mix and its YED is very high. Partial offset from Product 2 limits the damage. The recovery to 2022 is incomplete (GDP not yet back to pre-pandemic level) so total revenue is unlikely to have fully recovered. Depends on (i) price changes the retailer makes; (ii) whether the retailer rebalances stock to favour Product 2 during downturns and Product 1 during upturns; (iii) the YED of the 5% of sales not in the table; (iv) distributional effects — Japanese fiscal support cushioned household incomes, so the income shock may be smaller than the GDP shock suggests; (v) substitution to online from physical retail during Covid may have boosted this retailer specifically. **Judgement:** short-run revenue harm in 2020 is highly likely; full-period harm depends on speed of recovery and retailer's product-mix response.

Q3 (a). Using a D&S; diagram, outline how the SNB had previously been able to manage the Swiss Franc **below** its free-market exchange rate. **[3]**

Band	AO1 (2) Diagram drawn accurately?	AO1 (1) Method outlined?
2	Good understanding. Appropriate D&S; diagram with the managed ER clearly above/below the free-market equilibrium, fully labelled.	
1	Limited understanding. Diagram attempted but with significant labelling errors or the free-market level not clearly marked.	1 mark. Correct outline of how the supply/demand of currency is used to manage the rate.
0	No valid.	No valid.

Indicative content

AO1 diagram: D&S; diagram for CHF vs EUR, with the managed CHF rate (1 EUR = 1.20 CHF floor for the EUR, equivalently a ceiling on the CHF) drawn *below* the free-market equilibrium. Either supply of CHF shifts right (SNB sells CHF, buys EUR) or demand for CHF shifts left, with excess supply of CHF at the free-market level clearly marked.

AO1 method: The SNB issued (printed) Swiss Francs and used them to buy euros on the FX market, increasing the supply of CHF and the demand for EUR — pushing the CHF down. Doing so built up the SNB's euro reserves, which by 2014 had grown to over CHF 500bn. Lower domestic interest rates were also used to reduce hot-money inflows into CHF.

Q3 (b). Using Figure 2, explain why Swiss exporters would argue that abandoning the minimum exchange rate has caused a significant deterioration in their international competitiveness. **[3]**

Band	AO2 (2) Data used to support claim?	AO3 (1) Reasoning explained?
2	Good application: precise reference to the trade data with understanding of net trade flows.	
1	Limited application: one piece of data used (imports OR exports, not both).	1 mark – Analysis: developed reasoning explaining the effect on the exchange rate.
0	No valid.	No valid.

Indicative content

AO2: Swiss exports to the Eurozone (CHF 165bn) substantially exceed Swiss imports from the Eurozone (CHF 142bn). The Eurozone is Switzerland's largest trading partner. An abrupt appreciation of ~30% therefore directly raises the foreign-currency price of CHF 165bn of Swiss exports.

AO3: When the CHF appreciates by 30%, the EUR-denominated price of Swiss watches, machine tools, pharmaceuticals and chocolate rises by roughly 30% — assuming PED is non-zero, the quantity demanded falls sharply. Swiss exporters either absorb the appreciation (compressing margins on CHF 165bn of revenue) or pass it on (volume losses). The smaller import bill provides only a partial offset (cheaper imported inputs ease unit costs). The trade surplus shrinks, harming AD and growth.

Q4. Using the data and economic analysis, discuss the strength of the relationship between the UK's exchange rate and its economic growth, inflation and net exports between January 2022 and October 2023. [9]

Band	AO1 (2)	AO2 (3)	AO3 (2)	AO4 (2)
3		Excellent application: all four data series used effectively. Answer thoroughly embedded in the data.		
2	Good understanding of ER and how it influences growth, inflation and net exports.	Good application: data used with clear reference to ER and at least 2 of the 3 outcomes.	Good analysis: developed lines on how variables link.	Good evaluation: reasoned judgement; counter-arguments developed.
1	Limited understanding (ER + one impact only).	Limited application (ER + at least one outcome).	Limited analysis – superficial.	Limited evaluation – counterpoints underdeveloped.
0	No valid.	No valid.	No valid.	No valid.

Indicative content

AO1: An ER appreciation raises export prices and lowers import prices: AD may fall via worsened net exports; imported inflation eases. Depreciation has opposite effects. The Marshall-Lerner condition and J-curve govern the strength and timing of the response.

AO2: Sterling depreciated sharply from \$1.355 (Jan 2022) to a trough of \$1.115 (Oct 2022 — the post-mini-budget low) before partially recovering. Real GDP growth slowed from 3.4% (Jan 2022) to 0% (Jul 2023) and turned slightly negative by Oct 2023. Inflation rose dramatically from 5.5% (Jan 2022) to a peak of 11.1% (Oct 2022) before falling to 4.6% (Oct 2023). The trade deficit widened in 2022 (to ~£42bn in Oct 2022) before narrowing to ~£15bn by Oct 2023.

AO3: Standard theory: a 17% sterling depreciation (Jan–Oct 2022) should raise imported inflation, weaken AD via the income effect, and (after a J-curve lag) improve net exports as foreign demand responds to cheaper UK exports. The data conforms partially: inflation rose sharply, and net exports did improve through 2023 — consistent with a delayed J-curve response. But growth slowed despite the supposedly competitive boost.

AO4: The relationship is moderately strong but heavily contaminated by other shocks. **Inflation:** The 11.1% peak was driven mainly by gas/energy price shocks (Russia–Ukraine), not by sterling weakness — so attributing inflation purely to ER is misleading. **Growth:** Slowing growth reflects the cost-of-living squeeze, BoE rate rises (Bank Rate from 0.25% to 5.25% over the period), and post-Covid weakness — not weak ER per se. **Net exports:** The improvement through 2023 is consistent with a delayed Marshall-Lerner response, but services trade (which is invoiced in many currencies) makes the link weaker than for goods trade. **Judgement:** The ER relationship with inflation appears clear but is partly coincidental; the relationship with net exports is consistent with theory but delayed; the relationship with growth is weak and dominated by other factors. The ER is best seen as an amplifier of other shocks rather than the primary driver.

Q5. To what extent will the absence of enforceable private property rights over the global atmosphere lead to market failure? [8]

Band	AO1 (2) Market failure understood?	AO2 (2) In context?	AO3 (2) Link explained?	AO4 (2) Debated & judged?
2	Good – welfare loss / inefficient allocation defined precisely.	Good application: case used effectively throughout.	Good analysis: developed lines on lack of property rights → market failure.	Good evaluation: reasoned judgement; counter-arguments developed.
1	Limited – imprecise definition of market failure.	Limited application: case used superficially.	Limited analysis: superficial.	Limited evaluation: counterpoints underdeveloped.
0	No valid.	No valid.	No valid.	No valid.

Indicative content

AO1: Market failure is the inefficient allocation of resources, resulting in a welfare loss. In the presence of a negative externality, $MSC > MPC$ and the free market over-consumes.

AO2: The atmosphere is a global common-access resource. No country or firm has an enforceable right to limit others' emissions. The Paris Agreement (2015) attempts to coordinate but lacks enforcement powers — countries have withdrawn or weakened commitments.

AO3: Property rights are the legal entitlement to own and decide how a resource is used, including the right to exclude others. With no enforceable global rights over the atmosphere, the private cost of emitting a tonne of CO₂ is far below its social cost. Each emitter (country/firm/household) faces the full private benefit but only a tiny share of the marginal social cost of warming. Result: emissions in equilibrium far exceed the social optimum — a textbook tragedy of the commons at planetary scale. Welfare loss is the area between MSC and MPC over the over-consumption interval, accumulated across generations.

AO4: The case for severe market failure: the externality is global, irreversible on human timescales, and cumulative. Free-rider incentives are very strong — every country gains if others cut while it does not.

Counter: partial substitutes for property rights exist — carbon taxes (UK, EU ETS), cap-and-trade systems, emission standards, subsidies for renewables. The EU ETS creates tradable rights to emit, effectively creating property rights at a regional level. Technological change driven by these partial policies has cut the cost of renewables dramatically. Voluntary corporate net-zero commitments and ESG investor pressure also internalise some of the externality. **However:** these policies are unevenly applied and easily reversed (e.g. national withdrawals); coverage of global emissions by carbon pricing remains below 25%.

Judgement: the absence of enforceable global property rights is the *fundamental* cause of severe and ongoing market failure in the climate context. Domestic and regional policies mitigate but cannot substitute fully for a global enforcement mechanism. The depth of market failure is therefore very high — and is the strongest theoretical case for coordinated government intervention available in economics.

Q6. Evaluate whether the proposed alcohol package is likely to lead to higher prices, higher unemployment and a lower rate of economic growth. [9]

Band	AO2 (2) In context?	AO3 (3) Mechanisms explained?	AO4 (4) Debated & judged?
3		Excellent analysis: detailed lines for all three outcomes.	Excellent evaluation (4): reasoned judgement clearly set in context.
2	Good application: data/case used for at least two outcomes.	Good analysis: developed lines for two outcomes.	Good evaluation (2–3): reasoned judgement; counter-arguments developed.
1	Limited application: case used superficially or only one outcome.	Limited analysis: one outcome explained superficially.	Limited evaluation: counterpoints underdeveloped.
0	No valid.	No valid.	No valid.

Indicative content

AO2: The package: MUP increase 50p → 65p; alcohol-strength-linked excise; social media advertising ban for under-25s; pictorial health warnings from 2026; increased NHS dependency-programme funding.

AO3 – Higher prices: MUP is a legally enforced price floor — directly raises consumer prices for cheap, high-strength alcohol. Strength-linked excise raises producer cost of supply, shifting supply left and raising market price. PED for alcohol is generally inelastic, so most of the incidence falls on consumers. Heavy drinkers (the policy target) tend to consume the highest-strength products and so face the largest price rise.

AO3 – Higher unemployment: Falling sales reduce derived demand for labour in pubs, bars and off-licences. Advertising and sponsorship industry losses. Rural pubs may be particularly affected — they are major village employers. Some structural unemployment in regions concentrated in distilling and brewing.

AO3 – Lower growth: The licensed trade sector contributes a meaningful share of consumer spending. Falling C reduces AD. Reduced expected industry profits depress I. Tourism (whisky, gin tourism) may decline. Offsetting: NHS savings free up government spending elsewhere; healthier workforce raises productivity.

AO4 – Higher prices: Likely, but consumers may substitute toward home-poured spirits or duty-free imports, weakening the price effect on consumption. Scottish evidence on MUP suggests prices rose by less than the headline floor for many products. **Unemployment:** The hospitality sector is highly labour-intensive — job losses likely. But substitution effects are strong: lost pub spending often goes to restaurants, cafés and other licensed venues with similar labour intensity. Frictional rather than structural in most areas. **Growth:** The alcohol sector is small relative to UK GDP (~1.5%). Modest direct effects on growth. Long-run: reduced alcohol-related absence and ill-health could lift potential GDP. **Judgement:** Higher prices for cheap alcohol — yes, by design. Marginal employment losses in specific subsectors. Lower headline growth in the short run is plausible but small; the long-run growth effect through productivity and NHS savings could be net positive. Critics overstate the macro damage.

Q7 (a). Using calculations, explain why the total wage cap in 2023 might have been said to be "too low". [4]

Band	AO2 (3) Are calculations used?	AO3 (1) Impact on wages explained?
3	Excellent application: total wage without cap compared to the cap using a 52-week or 365-day year.	
2	Good application: average wage per player comparison, OR total wage compared to cap using a 48-week year (12×4).	
1	Limited application: weekly total wage calculated only.	1 mark – Analysis: explanation of why the wage cap is too low.
0	No valid.	No valid.

Indicative content

AO2: Max permitted average wage per player at cap = $\text{£}900,000 \div 12 = \text{£}75,000$ per year $\div 52 = \text{£}1,442$ per week.

Current actual: $\text{£}2,400/\text{wk} \times 52 = \text{£}124,800$ per year $\times 12 = \text{£}1,497,600$ (~£1.50m).

Or using 48 weeks (12×4): $\text{£}2,400 \times 12 \times 48 = \text{£}1,382,400$.

AO3: The cap (£900,000) is roughly 60% of the current total annual wage bill. With 12 players, teams would either have to cut average wages by 40% or release a significant share of the squad. For teams paying premiums to attract international players (above the average), the bite is even sharper — the cap forces them below market wages for top talent.

Q7 (b). Using a diagram, discuss whether the removal of the maximum price of labour was the main cause of the wage growth of elite footballers since 1995. [7]

Band	AO1 (3) Diagram correct?	AO2 (2) In context?	AO4 (2) Debated & judged?
3	Excellent understanding: max-price diagram fully integrated; impact on wages on removal shown clearly.		
2	Good understanding: max-price diagram of impact on wages if removed; may include D for labour shift due to TV revenue.	Good application: uses data and inelastic PES of labour to support strong wage growth.	Good evaluation: reasoned judgement on whether abolition was the main cause; counter-arguments developed.
1	Limited: no diagram, but understanding of max-wage removal effect shown.	Limited application: limited use of data.	Limited evaluation: counterpoints underdeveloped.
0	No / incorrect diagram.	No valid.	No valid.

Indicative content

AO1 (diagram): Wage on y-axis, quantity of elite-footballer labour on x-axis. Steep (inelastic) S_L ; downward-sloping D_L . The pre-1995 effective max wage is drawn as a horizontal line below free-market equilibrium (binding) — excess demand at the cap is marked. On removal, wage rises to W_{new} . A second shift shows D_L moving right to D_{L2} due to broadcasting revenue, giving a much higher new equilibrium wage W_{new2} .

AO2: Real wages rose from £3,200/wk (1995) to £36,500 by 2010 (~11x) and £128,000 by 2023 (a further ~3.5x). The first leg coincides directly with the Bosman ruling abolishing transfer-and-retain restrictions; the second leg coincides with the largest growth in broadcasting revenue in football's history (Premier League deals 2010 → 2023). The PES of elite footballers is highly inelastic — there are only so many top-tier players globally.

AO4: The removal of the wage cap (Bosman) was a *necessary* condition: without it, wage rises would have been bounded by the restrictive system. **But:** the 1995 → 2010 jump was already largely complete before the most recent TV deals — suggesting the policy change was a major direct driver of the initial wage explosion. **However:** the further ~3.5x rise from 2010 to 2023 cannot be attributed to the policy change (which had already occurred). This further rise is driven by demand-side factors: huge global TV deals, the commercial rise of the Premier League/Champions League, and the growth of mega-clubs with state ownership. Combined with inelastic PES, any rightward shift in D_L translates directly into wages. Free movement of players within the EU after Bosman widened the global market for talent further — another knock-on of the policy change. **Judgement:** the removal of the maximum price was the *most important single trigger*, but the *main cause* of the level of wages reached by 2023 is the growth of broadcasting and commercial revenue interacting with inelastic supply. Take away the policy change and modern wages would be much lower; take away the TV deals and modern wages would also be much lower. Both are essential. The policy change opens the door; the demand-side forces walk through it.